

Large Non-Solvency II Firms ? Allocation of Responsibilities

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _large non-directive insurer_ ; and
2. (2) a _Swiss general insurer_.

1.2

In this Part, the following definitions shall apply:

management responsibilities map

has the meaning given in 5.1.

prescribed responsibility

1. (1) for a _firm_ (other than a _Swiss general insurer_) means the responsibilities in 3.1 and 3.2;
2. (2) for a _Swiss general insurer_ means the responsibilities set out in 3.1 to the extent only that they are relevant to the activities of the _firm_ carried on from a _branch_ in the _UK_.

Swiss general insurer prescribed responsibility

means the responsibilities in 3A.2.

2

Allocation of Responsibilities

2.1

A _firm_ (other than a _Swiss general insurer_) must allocate each of the _prescribed responsibilities_ set out in 3.1 (other than 3.1(9) and (10)) to one or more _persons_ who, in relation to that _firm_ , are approved under section 59 of _FSMA_ by:

1. (1) the _PRA_ to perform a _PRA senior management function_ ; or
2. (2) in relation to _relevant senior management functions_ only, the _FCA_.

2.2

A _firm_ (other than a _Swiss general insurer_) must allocate each of the _prescribed responsibilities_ set out in 3.1(9)

and (10) and the _prescribed responsibility_ set out in 3.2, if applicable to one or more _non-executive directors_ who perform:

1. (1) a _PRA senior management function_ set out in Large Non-Solvency II Firms ? Senior Insurance Management Functions 4; or
2. (2) an _FCA governing function_ at that _firm_.

2.3

A _Swiss general insurer_ must allocate each of the _prescribed responsibilities_ set out in 3.1(A1) to 3.1(1) and each of the _Swiss general insurer prescribed responsibilities_ to one or more _persons_ who, in relation to that _firm_, are approved under section 59 of _FSMA_ by:

1. (1) the _PRA_ to perform a _PRA senior management function_ ; or
2. (2) in relation to the _relevant senior management function_ only, the _FCA_.

2.4

A _firm_ must ensure that any responsibilities allocated to, and that form part of the responsibilities of, a _person_ who performs a _PRA senior management function_ in relation to the _firm_ are consistent with the scope of that _PRA senior management function_ and of any _prescribed responsibilities_ , _FCA responsibilities_ and other responsibilities allocated to that _person_.

3

Prescribed Responsibilities

3.1

Each of the responsibilities set out in this rule is a _prescribed responsibility_ :

1. (A1) responsibility for the _firm?s_ performance of its obligations under the _senior management regime_ (PR A);
2. (A2) responsibility for the _firm?s_ performance of its obligations under the _certification regime_ (PR B);
3. (A3) responsibility for compliance with the _firm?s_ obligations in relation to its _management responsibilities map_ (PR C);
4. (1) responsibility for ensuring that the _firm_ has complied with its obligations in Large Non-Solvency II Firms - Fitness and Propriety to:
 1. (a) ensure that every _person_ who performs a _key function_ but does not also perform a _PRA senior management function_ or a _certification function_ is a fit and proper _person_ ; and
 2. (b) provide and obtain regulatory references (PR U);
5. (2) responsibility for leading the development of the _firm?s_ culture by the _governing body_ as a whole (PR I);
6. (3) responsibility for overseeing the adoption of the _firm?s_ culture in the day-to-day management of the _firm_ (PR H);
7. (4) responsibility for the production and integrity of the _firm?s_ financial information and its regulatory reporting (PR Q);
8. (5) responsibility for management of the allocation and maintenance of the _firm?s_ :
 1. (a) capital; and
 2. (b) liquidity (PR O);
9. (6) responsibility for the development and maintenance of the _firm?s_ business model by the _governing body_ (PR T);
10. (7) responsibility for leading the development and monitoring effective implementation of policies and procedures for

the induction, training and professional development of all members of the _firm?s_ governing body_ (PR F);

11. (8) responsibility for monitoring effective implementation of policies and procedures for the induction, training and professional development of all of the _firm?s_ key function holders_ (other than members of the _firm?s_ governing body_) (PR G);

12. (9) responsibility for oversight of the independence, autonomy and effectiveness of the _firm?s_ policies and procedures on whistleblowing including the procedures for protection of staff who raise concerns from detrimental treatment (PR N);

13. (10) responsibility for overseeing the development and implementation of the _firm?s_ remuneration policies and practices (PR M); and

14. (11) responsibility for the _firm?s_ performance of its obligations in respect of outsourced operational functions under Non-Solvency II Firms ? Governance 5 (PR X).

3.2

The responsibility set out in rule 3.2(1) is a _prescribed responsibility_ in the circumstances specified:

1. (1) if a _firm_ outsources its internal audit _function_ to an external third party service provider (that is, a service provider outside the _firm_ or the _firm?s_ group_), responsibility for providing for an effective internal audit _function_ in accordance with Non-Solvency II Firms ? Governance 9.2 and for overseeing the performance of the internal audit _function_ (PR J2).

3A

Prescribed Responsibilities: Swiss General Insurers

3A.1

This Chapter applies only to a _Swiss general insurer_ in respect of the activities of the _firm_ carried on from a _branch_ in the _UK_.

3A.2

Each of the responsibilities set out in this rule is a _Swiss general insurer prescribed responsibility_ :

1. (1) responsibility for management of the _firm?s_ risk management processes in the _UK_ (PR AA);
2. (2) responsibility for the _firm?s_ compliance with the _UK_ regulatory system_ applicable to the _firm_ (PR FF);
3. (3) responsibility for the escalation of correspondence from the _PRA_ , _FCA_ and other regulators in respect of the _firm_ to each of the _governing body_ or the _management body_ of the _firm_ and, as appropriate, the _firm?s_ _parent undertaking_ and the ultimate _parent undertaking_ of the _firm?s_ group_ (PR EE); and
4. (4) responsibility for management of the _firm?s_ systems and controls in the _UK_ (PR BB).

4

Identification of Key Functions

4.1

A _firm_ must identify:

1. (1) each of the _functions_ that the _firm_ considers to be a _key function_ ; and
2. (2) any such _key function_ that amounts to effectively running the _firm._

4.2

A _firm_ must keep its identification of _key functions_ pursuant to 4.1 up-to-date.

4.3

A _firm_ must keep a record of its reasoning for the identification of _key functions_ pursuant to 4.1.

5

Records

5.1

A _firm_ must have and maintain a _management responsibilities map_ , which is a clear and coherent document or series of documents with the following details:

1. (1) a list of the _key functions_ identified by the _firm_ in accordance with 4.1 highlighting those that amount to effectively running the _firm_ ;
2. (2) the names of the _persons_ who effectively run the _firm_ or who are responsible for other _key functions_ listed pursuant to 5.1(1);
3. (3) for each _person_ named pursuant to 5.1(2), a summary of the significant responsibilities allocated to that _person_ (including, if applicable, any _prescribed responsibilities_ that have been allocated to that _person_ in accordance with 2);
4. (4) where any responsibilities covered by 5.1(3) are allocated to more than one _person_ , details of how those responsibilities are shared or divided between the _persons_ concerned;
5. (5) reporting lines and lines of responsibility for each _person_ listed pursuant to 5.1(2);
6. (6) where a _firm_ is a member of a _group_ :
 1. (a) how the _firm?s_ management and governance arrangements fit together with those of its _group_ and the extent to which the _firm?s_ management and governance arrangements are provided by or shared with other members of its _group_ ; and
 2. (b) for the _persons_ listed pursuant to 5.1(2), details of the reporting lines and the lines of responsibility (if any) to _persons_ who are employees or officers of other _group_ members or to committees or other bodies of the _group_ or of other _group_ members;
7. (7) matters reserved to the _governing body_ (including the terms of reference of its committees) including, in the case of a _Swiss general insurer_ , the equivalent body (or its committees) responsible for the management of the _Swiss general insurer?s_ business and activities in the _UK_.

5.2

A _firm_ must update the _management responsibilities map_ :

1. (1) at least quarterly; and
2. (2) in the event of a significant change to:
 1. (a) the _firm?s_ governance structure;
 2. (b) the significant responsibilities allocated to a _key function holder_ ; or
 3. (c) the reporting lines or lines of responsibility for a _key function holder_.

5.3

A _firm_ must, as soon as reasonably practicable, provide the following to the _PRA_ :

1. (1) upon request by the _PRA_ , a copy of the _management responsibilities map_ ; and
2. (2) in the event of an update pursuant to 5.2(2), a copy of the relevant part of the _management responsibilities map_.

5.4

A _firm_ must keep an up-to-date record of the _statement of responsibilities_ of each _key function holder_.

5.5

A _statement of responsibilities form_ , where it is kept and maintained on behalf of a _key function holder_ , will satisfy the requirement in 5.4.

5.6

The record in 5.4, and each updated version, must be signed by the _key function holder_ and an appropriate representative of the _firm_.

5.7

Where a _firm_ amends its _management responsibilities map_ to show changes in a _person?s_ responsibilities it must also ensure that:

1. (1) the _person_ concerned is informed in writing of the changes; and
2. (2) the record in 5.4 is amended to show the changes.

5.8

Each version of both the _management responsibilities map_ and the record in 5.4 must be retained for a period of six years from the date on which it was superseded by a more up-to-date record, and must be provided to the _PRA_ on request.

5.9

[Not currently used.]

5.10

A _firm_ must comply with 5.8 in relation to any record created in accordance with SYSC 2.2.1R of the _PRA Handbook_ as at 31 December 2015.